

Infosys Ltd

NSE: INFY | BSE: 500209 | IT Services | 2 July 2026

ACCUMULATE (upgraded from HOLD) **Target Price: ₹1,190** | CMP: ₹1,040.9 (3-Jul-2026) | Upside: +14.3%

Investment Summary

We are upgrading Infosys to ACCUMULATE — not because the outlook improved, but because the price has fallen far more than the fundamentals have. The stock is down roughly 38% year-to-date to around ₹1,040, near a 52-week low, after a brutal de-rating of the entire Indian IT sector (Nifty IT –29% YTD) on weak global tech demand, an Accenture outlook cut, AI-disruption fear, and Infosys's own soft FY2027 revenue-growth guidance of just 1.5–3.5% in constant currency.

Those concerns are real, and we have cut our own assumptions to match: FY2027 revenue growth of ~3%, recovering only gradually toward ~7% by FY2031. Even on that conservative path, our DCF fair value of ₹1,186 sits ~14% above the current price, and a completed peer-multiple cross-check (Indian-IT median now ~17x, the sector having re-rated down with Infosys) implies ₹1,220. The blended fair value near ₹1,196, alongside a ~4.9% dividend yield and a net-cash balance sheet, offers a real margin of safety.

This is the same thesis we made on TCS: the market is pricing structural decline; we think it is pricing an AI-fear-amplified cyclical one, and the best-in-class, cash-generative franchises are more likely to consolidate AI-era spend than be destroyed by it. The near-term swing factor is the Q1 FY2027 print on 23 July — a further guidance cut is the key risk — so we would accumulate into and around that catalyst rather than chase. Rating: ACCUMULATE.

Snapshot

Metric	Value	Note
Market cap	~₹4.1 lakh Cr	52-wk range ₹982 / ₹1,728; –38% YTD
FY2026 revenue / PAT	₹1,78,650 Cr / ₹29,474 Cr	+9.6% INR (+3.1% constant currency)
FY2027 guidance	Revenue +1.5–3.5% cc; op margin 20–22%	The demand-slowdown signal
Valuation / yield	~14x P/E / ~4.9% dividend yield	vs ~22x 10-yr median P/E
Balance sheet	Net cash ~₹12,700 Cr	Debt-free; FY26 FCF 112% of profit

FY2026 Results & the De-rating

FY2026 was a solid year on paper: revenue of ₹1,78,650 crore (+9.6% reported, +3.1% constant currency), PAT of ₹29,474 crore (+10.2%), EPS of ₹72.59, and free cash flow of ₹33,097 crore — 112% of net profit. The board declared a ₹25 final dividend (~66% payout), and the April 2026 OpenAI collaboration strengthened the AI narrative.

The problem is the forward view. FY2027 guidance of 1.5–3.5% constant-currency growth confirmed that discretionary demand has stalled, and the sector has since de-rated violently — the Nifty IT index hit a three-year low, with TCS, Infosys and peers at 52-week lows and multiple brokerages turning negative. Infosys now trades near ₹1,040, about 14x trailing earnings versus a ~22x ten-year median, with the dividend yield pushed up to ~4.9%.

Valuation

Our five-year FCFF DCF uses assumptions deliberately reset to the weak outlook: FY2027 revenue growth of ~3% (the midpoint of guidance), recovering gradually to ~7% by FY2031; EBITDA margin held near 24% (~20–22% operating margin); WACC of 11.65% (Rf 6.7%, beta 0.90, ERP 5.5%); and terminal growth of 5%. This produces an equity value of about ₹4.80 lakh crore, or ₹1,186 per share — still ~14% above the current price.

A peer cross-check corroborates it: the Indian-IT median has compressed to ~17x, which applied to FY2026 EPS of ₹72.59 implies ₹1,220. Blending 70% DCF and 30% comps gives a fair value near ₹1,196. The point is not that Infosys is a growth story — near-term it isn't — but that even a conservative, guidance-matched valuation leaves double-digit upside, with a ~4.9% yield paying you to wait for the cycle to turn. Illustrative outputs; full detail in the accompanying model.

Key Risks

- Q1 FY2027 results on 23 July — a further guidance cut is the primary near-term risk and could extend the de-rating.
- Structural AI disruption of application services faster than new AI revenue scales.
- Prolonged weakness in US and European discretionary technology spending.
- Sector sentiment: brokerages have turned negative on Indian IT; momentum is poor.
- Currency: INR strength against the USD reduces reported growth and margin.

Company Overview

Infosys is India's second-largest IT services company, providing consulting, technology, outsourcing and digital-transformation services across customer-experience, AI analytics, cloud, product engineering and cybersecurity. It runs a debt-free, cash-generative model and is among the most shareholder-friendly names in the sector, with a stated capital-return policy and — after the 2026 sell-off — a dividend yield near 4.9%.

Disclaimer

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